

3. Miscellaneous peculiarities:

- a. Only one issue has a sinking fund provision.
- b. One issue is a second preferred (Procter and Gamble).
- c. One issue has a par value of only \$1 (Island Creek Coal).
- d. One issue was callable at close to the lowest market price of 1932–1933 (General Electric).

Matters of Form, Title, or Legal Right Relatively Immaterial. We trust that no overzealous exponent of the inductive method will conclude from these figures either: (1) that noncumulative preferreds are superior to cumulative issues; or (2) that preferreds preceded by bonds are superior to those without bonds; or (3) that the snuff business presents the safest opportunity for investment. The real significance of these unexpected results is rather the striking confirmation they offer to our basic thesis that matters of form, title, or legal right are relatively immaterial, and that the showing made by the individual issue is of paramount importance. If a preferred stock could always be expected to pay its dividend without question, then whether it is cumulative or noncumulative would become an academic question solely, in the same way that the inferior contractual rights of a preferred stock as compared with a bond would cease to have practical significance. Since the dividend on United States Tobacco Company Preferred was earned more than sixteen times in the depression year 1931—and since, moreover, the company had been willing to buy in a large part of the preferred issue at prices ranging up to \$125 per share—the lack of a cumulative provision caused the holders no concern at all. This example must of course, be considered as exceptional; and as a point of practical investment policy we should suggest that no matter how impressive may be the exhibit of a noncumulative preferred stock, it would be better to select a cumulative issue for purchase in order to enjoy better protection in the event of unexpected reverses.¹¹

¹¹ See, for example, the record of American Car and Foundry Company 7% Noncumulative Preferred. For many years prior to 1928 this issue sold higher than United States Tobacco Company 7% Noncumulative Preferred. By 1929 it had completed 30 years of uninterrupted dividend payments, during the last 20 of which its market price had never fallen below 100. Yet in 1932 the dividend was passed and the quotation declined to 16. Similarly, Atchison, Topeka and Santa Fe Railway Company Preferred, a 5% noncumulative issue, paid full dividends between 1901 and 1932 and was long regarded as a gilt-edged investment. As late as